3. Employees will avoid responsibilities and seek formal direction whenever possible.
4. Employees have least capacity for creativity in solving organisational problems.

Theory X holds a set of assumption of how to manage individuals and get motivate by lower order needs.

Y Theory:

According to Y theory if workers are properly motivated they would willingly accept responsibility and display creativity and imagination in their work performance. Theory Y holds four contrasting assumptions to X theory.

They are:

1. Employees view work factor natural or play.
2. People will exercise self-direction and self-control if they are committed to the objectives.
3. An average person can learn to accept, even seek responsibility.
4. The ability to make innovative decisions is widely dispersed throughout the population and is not necessarily the sole. Province of those in management positions.

Theory Y holds a set of assumptions of how to manage individual to get motivated by higher order needs.

8.11 Distinction between X and Y theory

The following are the major differences between X and Y theory of motivation.

Theory X	Theory Y
Avoid work – People dislike work and will attempt to avoid it.	Work is natural – People like work if the conditions are favourable.
Must be controlled – people do not take initiative. They like to be directed.	Self – Direction – People like to take initiative. They seek self – direction.
Avoid responsibility. People avoid responsibility whenever possible.	Seeks responsibility – People accept responsibility happily if conditions are favourable.
Seek security – Decisions will be made largely by higher authorities and instructed.	Good decisions widely dispersed – delegate authority for many decision.
People are self – centered and indifferent to organizational goals.	People are not much self- centered and are interested in organizational goals.
Commitment to objectives is a function of punishment associated with their non achievement.	Commitment to objectives is a function of rewards associated with their achievement.
People lack creativity and imagination (Creativity is narrowly distributed among population).	People posses creativity and imagination (Creativity is widely distributed among population).

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